ECON1010 Introductory Microeconomics

Tutorial 3 | Demand and Supply I

This Week in ECON1010

CML 1 is due **tomorrow** 4.00pm March 17

CML 2 is available from 9.00am Wednesday March 18

CLEAR-JE is due **Thursday** 4.00pm March 19

Assessment

85%	7
75%	6
65%	5
50%	4
47%	3
30%	2
0%	1

CMLs (25%)

- Computer Managed Learning
- Each worth 5%
- Best 5/6 count towards final grade

CLEAR-JE (20%)

- Contextualised Learning of Economics via Authentic Reflection using Journal Entries
- Each worth 10%
- Best 2/3 count towards final grade

Final Exam (55%)

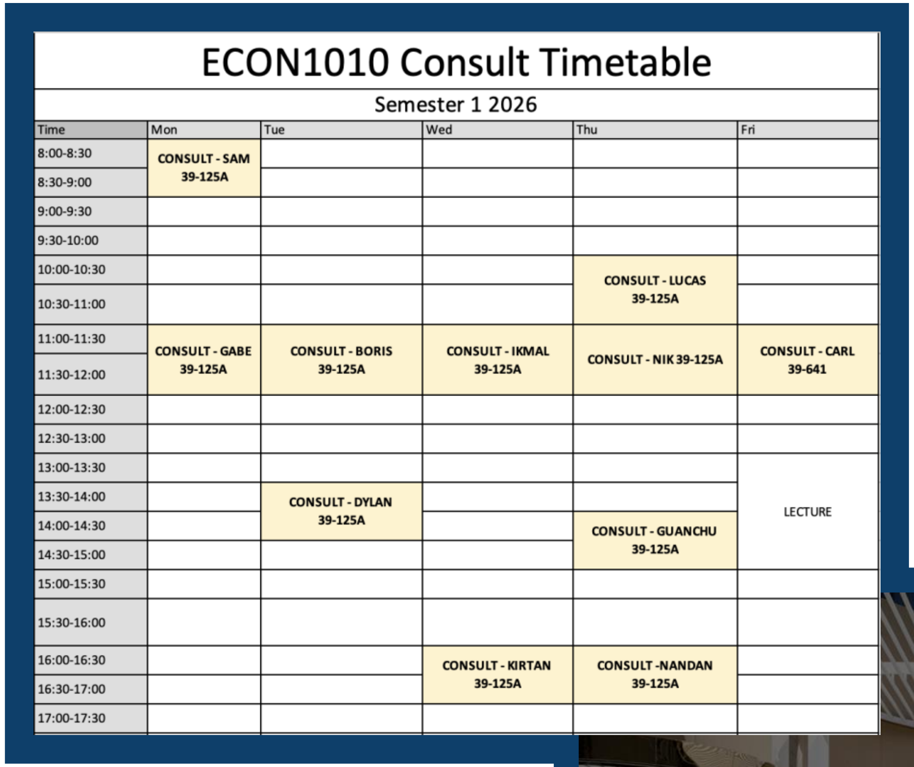
Tools and Resources

I need HELP…

1. **Ed Discussion Board** (Blackboard)
2. **Consultation** (8.00am Mon, 39-125A)
3. **Staff email** econ1010@uq.edu.au

I REALLY need HELP…

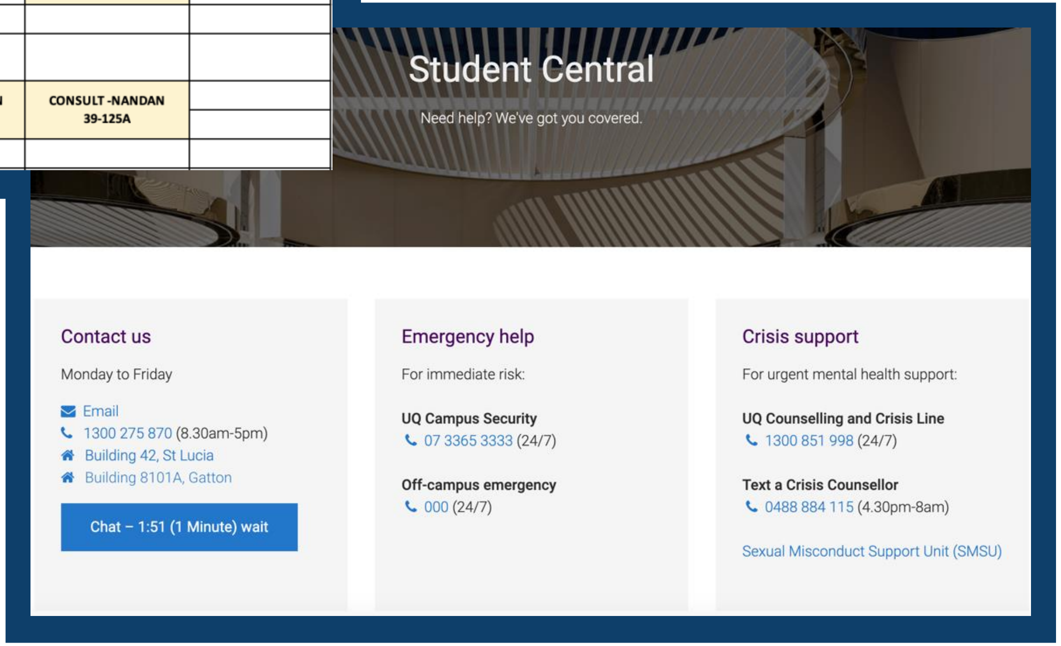
- https://my.uq.edu.au/contact/student-central



ECON1010 Consult Timetable

Semester 1 2026

Time	Mon	Tue	Wed	Thu	Fri
8:00-8:30	CONSULT - SAM 39-125A				
8:30-9:00					
9:00-9:30					
9:30-10:00					
10:00-10:30				CONSULT - LUCAS 39-125A	
10:30-11:00					
11:00-11:30	CONSULT - GABE 39-125A	CONSULT - BORIS 39-125A	CONSULT - IKMAL 39-125A	CONSULT - NIK 39-125A	CONSULT - CARL 39-641
11:30-12:00					
12:00-12:30					
12:30-13:00					
13:00-13:30					LECTURE
13:30-14:00		CONSULT - DYLAN 39-125A			
14:00-14:30				CONSULT - GUANCHU 39-125A	
14:30-15:00					
15:00-15:30					
15:30-16:00					
16:00-16:30			CONSULT - KIRTAN 39-125A	CONSULT -NANDAN 39-125A	
16:30-17:00					
17:00-17:30					



Demand and Supply I

Question 1a

a) Consider the following questions:

i) How are “demand” and “quantity demanded” different?

ii) How is “movement along the demand curve” different to “shift in demand”?

iii) The demand curve has a negative slope, what does this mean?

iv) How will a producer react to an increase in market price?

v) Is the market equilibrium always fair and just?

vi) When do black markets occur?

Discuss with your table group, choose one person to share

Question 1a

i) How are "demand" and "quantity demanded" different?

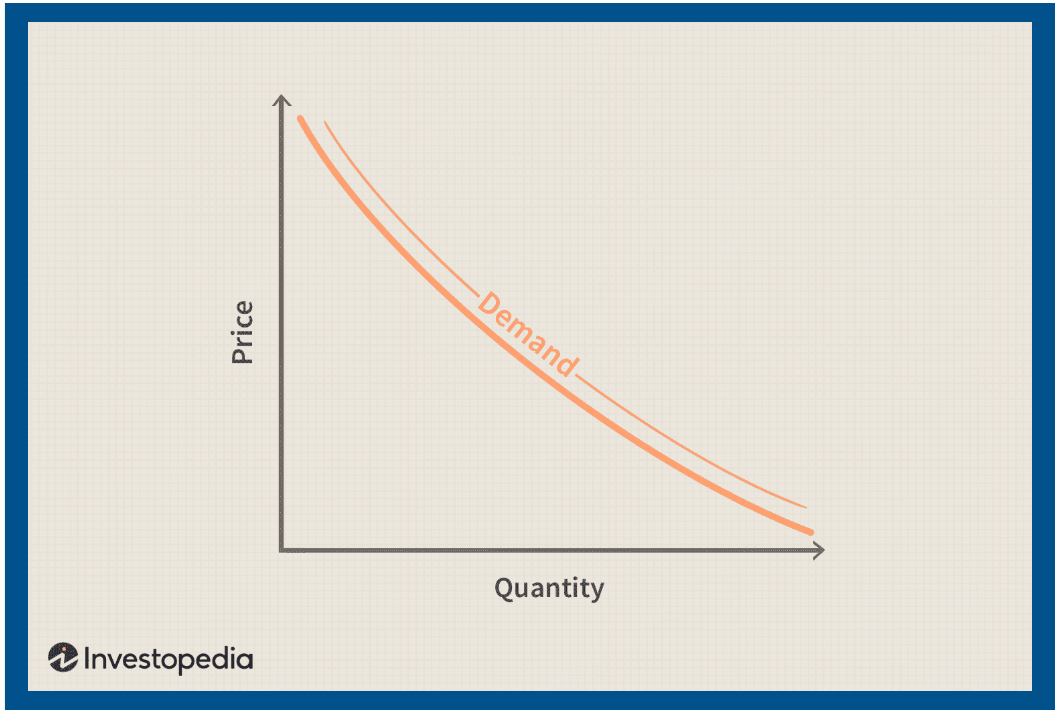
Quantity demanded = the amount of a good demanded at a particular price.
Demand = the curve = the quantity demanded at all possible prices.

ii) How is "movement along the demand curve" different to "shift in demand"?

Movement along the curve refers to a different price/quantity point on the same curve. Shift refers to an entire movement of the curve, where the same price will now result in a different quantity.

iii) The demand curve has a negative slope, what does this mean?

Demand is downward sloping. This means as prices increase, quantity demanded decreases.



Question 1a

iv) How will a producer react to an increase in market price?

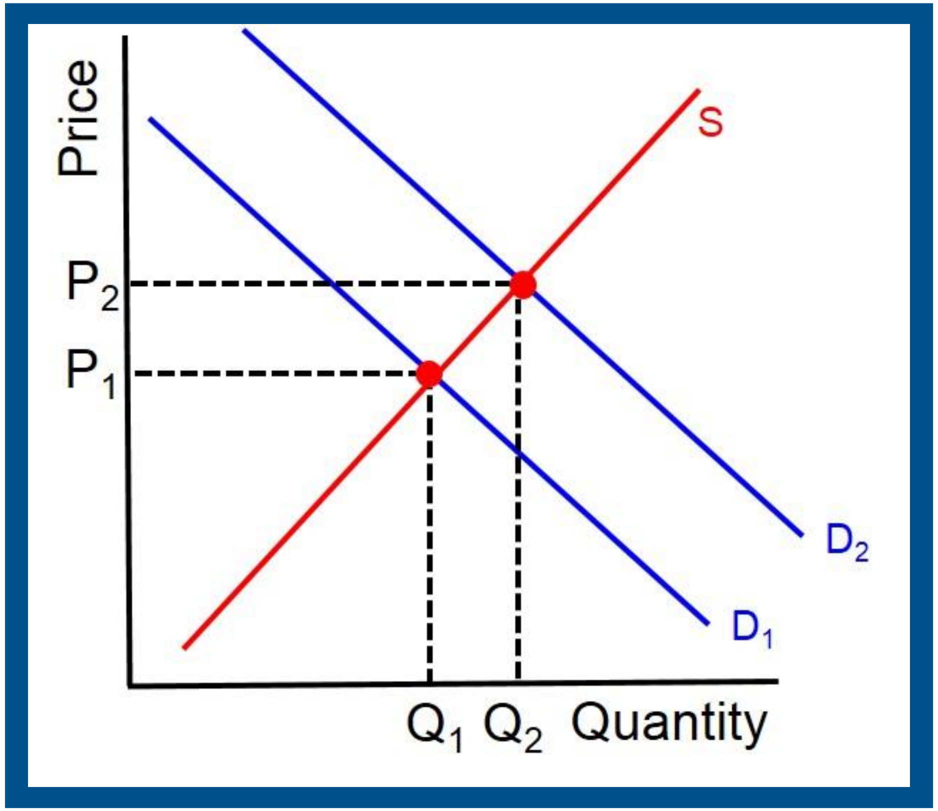
As producers are on the supply curve and the supply curve has a positive slope, as prices increase, quantity supplied increases.

v) Is the market equilibrium always fair and just?

No. Fair and just is normally based on morals and subjective views. The Market Equilibrium is usually efficient however.

vi) When do black markets occur?

Black markets occur when government intervention forces people to trade outside of the legal system. Example: the drug trade or paying wages below the minimum wage in cash.



Question 1b

b) In your own words:

i) What is total consumer surplus?

ii) What does ceteris paribus mean? Why is it important?

iii) What is the market equilibrium?

iv) What is dead weight loss? Why is it considered “bad”?

Discuss with your table group, choose one person to share

Question 1b

i) What is total consumer surplus?

Total consumer surplus is the total (combined) utility (benefit) of all of the buyers in the market.

ii) What does ceteris paribus mean? Why is it important?

Ceteris paribus means 'all else being equal'. It is important that 'all else is equal' to use economic theory's cause and effect relationships to predict outcomes. Example: if there is a change (demand increases), the predictable outcome (price and quantity demanded increase) is only certain if there's no other changes (such as supply changes).

iii) What is the market equilibrium?

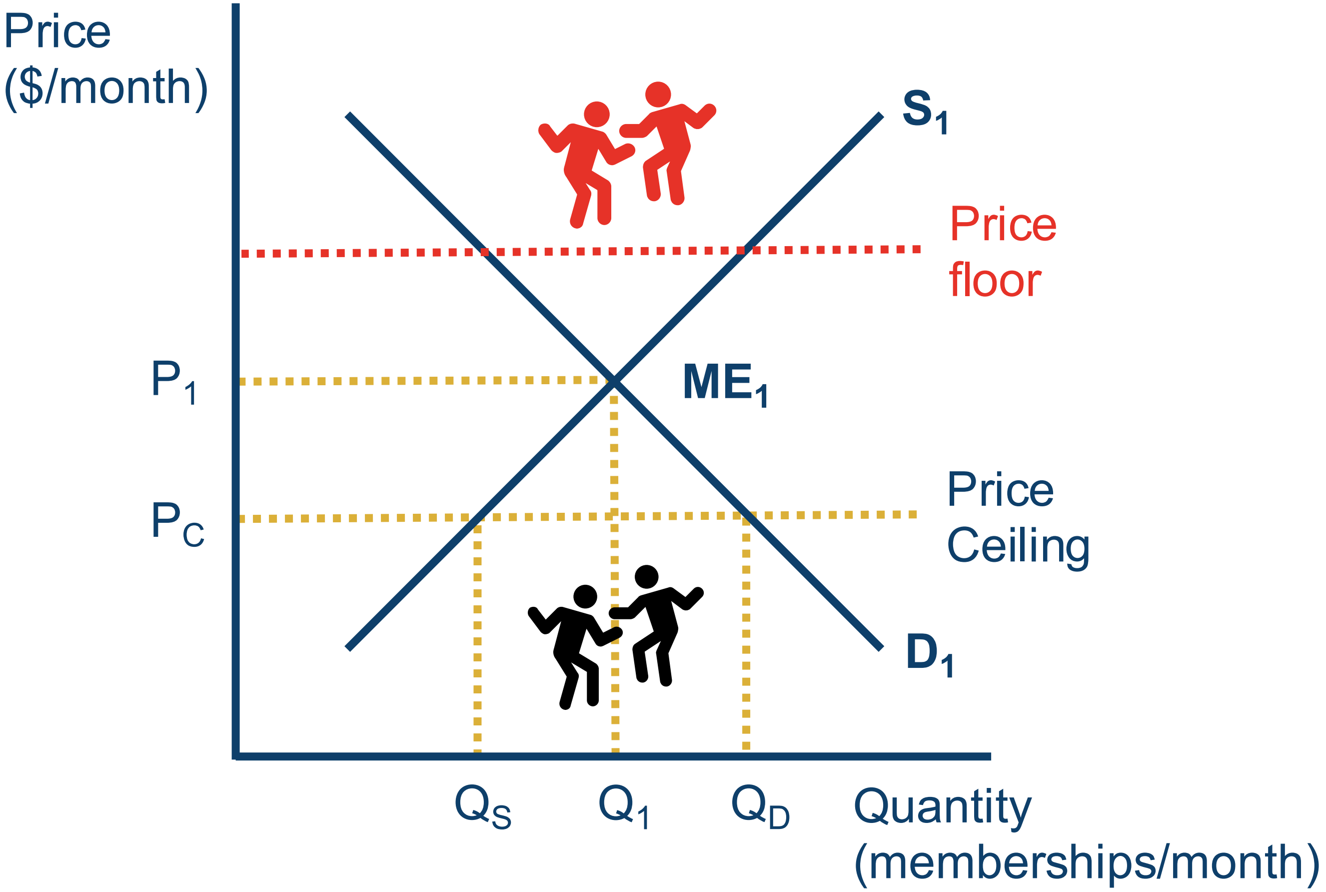
Market equilibrium is where supply and demand meet. At this point is the equilibrium price and equilibrium quantity.

iv) What is dead weight loss? Why is it considered "bad"?

Dead weight loss is the inefficiency in the market (lost consumer and producer surplus) as a result of government intervention. It is considered bad as inefficiency results in less benefits to the buyers and sellers.

Question 2a

a) In an attempt to promote a higher level of exercise, the Federal Minister for Health is considering imposing a price ceiling for gym memberships. Use the supply and demand model to explain the likely consequences of this policy on the market for gym memberships.



The figure demonstrates that a price ceiling P_C on gym memberships will result in excess quantity demanded (Q_D – Q_S), since more consumers are willing to purchase gym memberships than suppliers willing to offer at price P_C. As a result, only Q_S memberships/month will be sold, meaning there will be a loss of economic surplus in the market. Notice that although gym membership will be cheaper (P reduces to P_C), fewer people will be able to take out gym memberships (Q reduces to Q_S). At the lower price, quantity supplied will be reduced.

Question 2b

b) Recently, the Australian Government considered introducing a minimum price per standard unit of alcohol. This minimum price (price floor) would have had a large impact on an iconic style of wine purchased in Australian bottle-shops called ‘goon’. View the graph below and answer the following questions:

i) According to the graph, the total consumer surplus received by ‘goon’ buyers is _______ and the total supplier surplus received by ‘goon’ producers is _______.

ii) For a price floor to create an inefficiency in the ‘goon’ market, it would need to be above what price?

iii) Assume the government sets the price floor at $30 per bag of ‘goon’. The total consumer surplus is now ______ and the total supplier surplus is now ______.

iv) As a result of the $30 per bag of ‘goon’ price floor, what is the dead weight loss?

Note: This question is based on a real policy consideration outlined in the article: https://www.news.com.au/lifestyle/food/drink/draft-strategy-proposes-radical-plan-toboost-booze-prices/news-story/b3ec7d4d2678f518499bc27d0ad7e223

Question 2b

i) According to the graph, the total consumer surplus received by ‘goon’ buyers is:

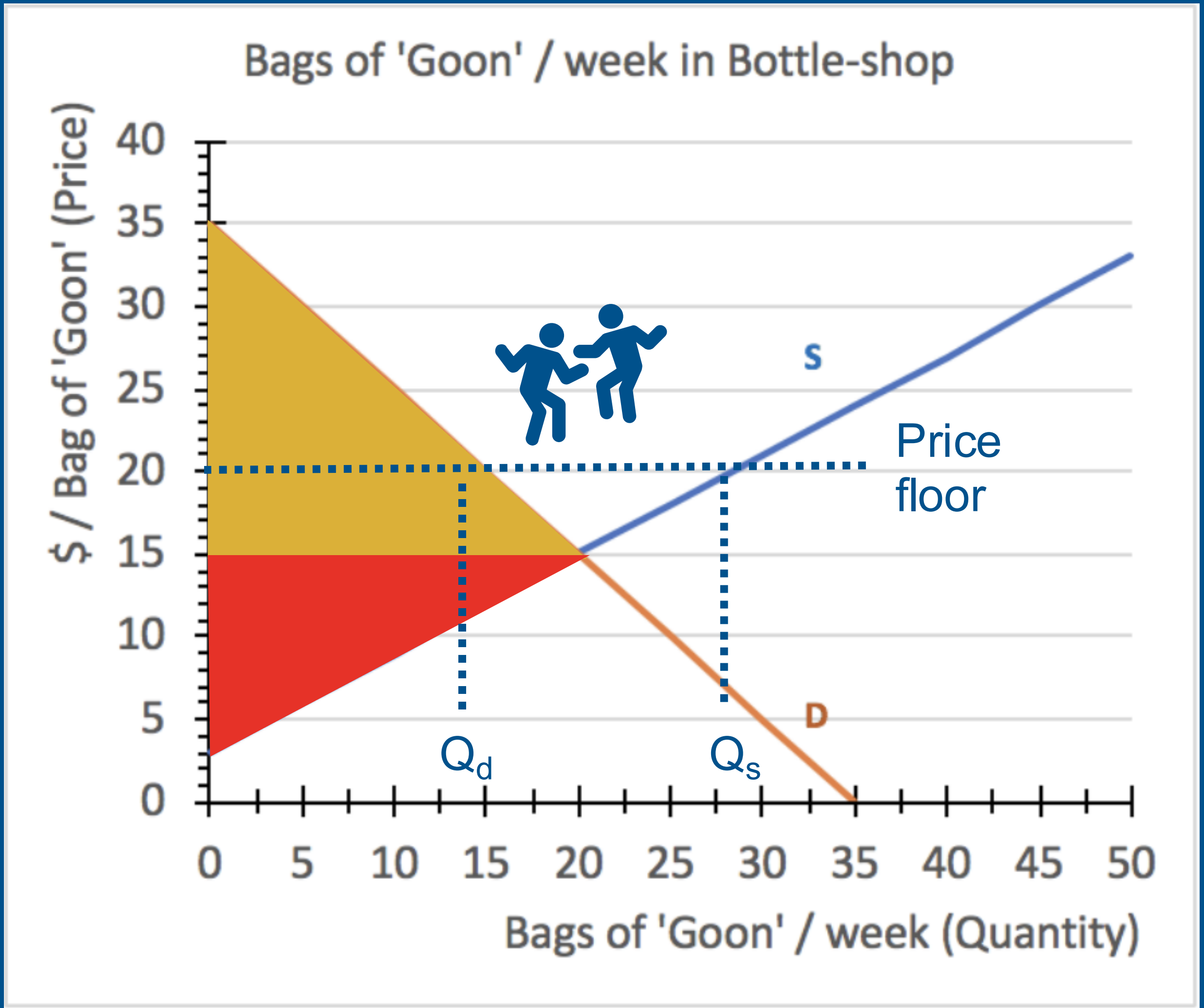
Area of triangle = 1/2bh:
[($35-$15)*20/2] = $200

and the total supplier surplus received by ‘goon’ producers is:

Area of triangle = 1/2bh:
[($15-$3)*20/2] = $120.

ii) For a price floor to create an inefficiency in the ‘goon’ market, it would need to be above what price?

It would need to be above the equilibrium price ($15/bag) to create an inefficiency (oversupply). This is because it will move us away from ME.



***CS** is area under d and above market price*
***PS** is area above s and below market price*

Question 2b

iii) Assume the government sets the price floor at $30 per bag of 'goon'. The total consumer surplus is now:

Area of triangle = 1/2bh:
[($35-$30)*5/2
= $12.50

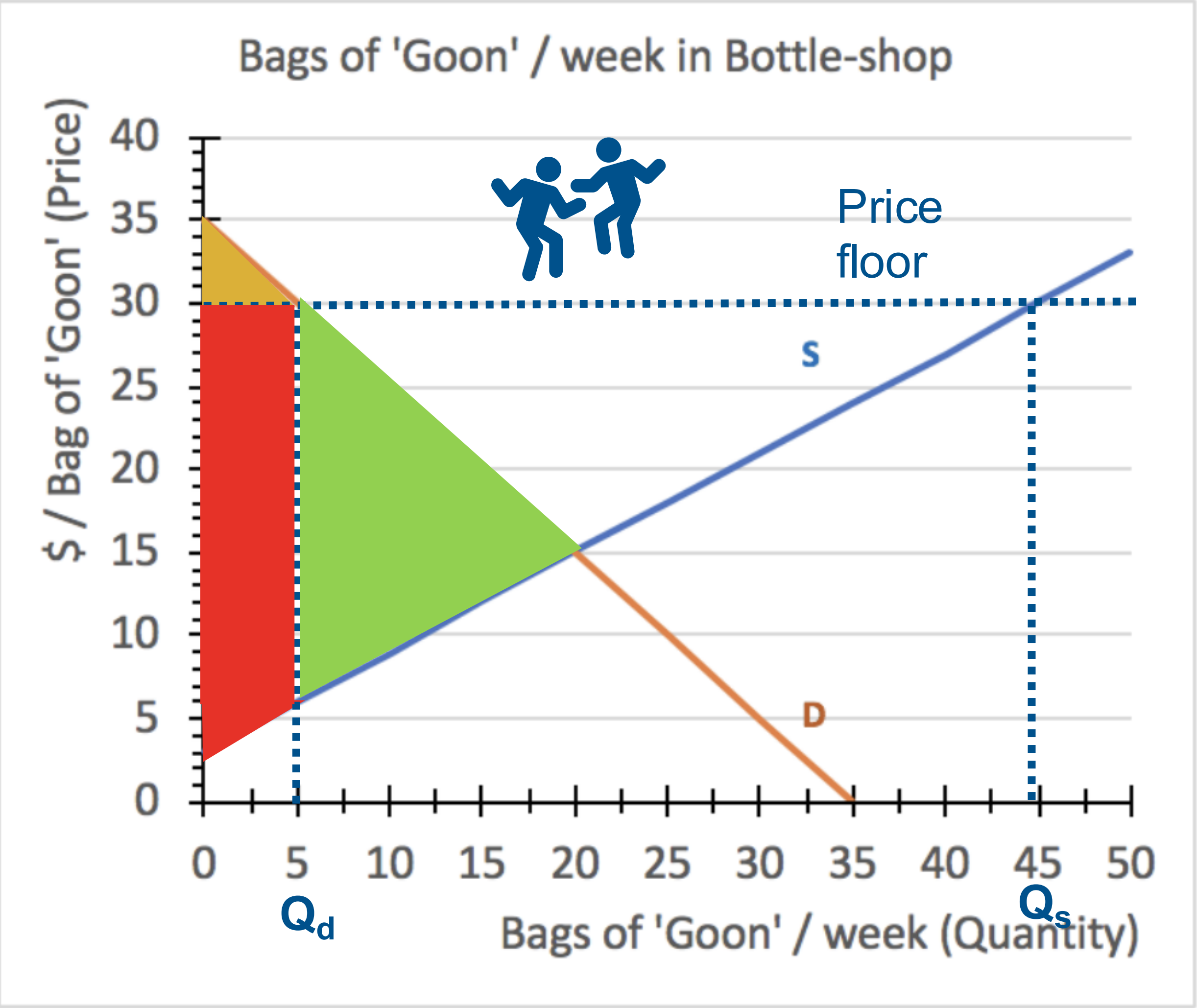
and the total supplier surplus is now:

Area of triangle + Area of rectangle:
[($6-$3)*5/2 +
($30-$6)*5
= $127.50

iv) As a result of the $30 per bag of 'goon' price floor, what is the dead weight loss?

Before PF: $200 + $120 = $320 *from i) and ii)*
After PF: $12.50 + $127.50 = $140

DWL = $320 – $140 = $180



CS is area under d and above market price
PS is area above s and below market price

Question 3

a) Reflect on your own personal situation

i) Can you and your friends think of any situations where a government intervention affects your life (price ceiling or price floor)?

ii) What is the benefit of this intervention?

iii) What are the costs to this intervention?

iv) Are you personally better or worse off due to the intervention?

Thank You

Next week: Demand and Supply II

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